

# INDIAN ECONOMY

LEVEL  
II



## LECTURES

AN OVERVIEW ABOUT THE OILSEEDS  
PRODUCTION IN INDIA - Part II

MODULE - 66





# AS INCOMES INCREASE ... VEGETABLE OIL CONSUMPTION INCREASES AT MUCH FASTER PACE!

**4** Important factors for stagnant production are – low level of farm mechanization, competition from other commercial crops, price volatility.

**3** Only around 15 per cent of India's total cropped area is sown with freshly obtained quality seeds every year, while the rest is sown with farm-saved seeds.



NOT MUCH  
ATTENTION BY  
THE CENTRE IN  
RECENT  
DECADES !



**1** The area under cultivation increased from 26.3 million hectares in 2011-12 to 28.8 million hectares in 2020-21.

**2** The yield per hectare improved only marginally from 1,193 kg per hectare to 1,254 kg per hectare. Hence, total production increased from 29.8 million tonnes in 2011-12 to 36.1 million tonnes in 2020-21, at a CAGR of just 1.94 per cent.



# AS INCOMES INCREASE ... VEGETABLE OIL CONSUMPTION INCREASES AT MUCH FASTER PACE!

**7** As urbanisation increases, dietary habits and traditional meal patterns are expected to shift towards processed foods that have a high vegetable oil content. Increase in income contributes to a further rise in the per capita consumption of edible oil, as the expenditure elasticity for vegetable oils is positive.

**6** The domestic edible oil consumption increase is due to the increase in population, urbanisation and per capita consumption.

NOT MUCH ATTENTION BY THE CENTRE IN RECENT DECADES !

**5** Some crops like oil palm have a long gestation period and, therefore, restrict income flow for a minimum of four-five years. This, coupled with fluctuation in the palm oil price as well as competition from other economically viable crops like rubber, areca nut, sugarcane, banana and coconut has contributed to low acreage of oil palm.

*The primary sources for vegetable oil are soybean, rape seed/mustard, groundnut, sunflower, safflower and niger, whereas the secondary sources are palm oil, coconut, rice bran, cotton seeds and tree borne oilseeds.*





## WHAT WERE THE RECENT EFFORTS OF THE GOVERNMENT TO PROMOTE OILSEEDS?

- In view of the persistently high import of edible oil, increase in oil production has been a priority for the Government.
- The Government is promoting the production and productivity of oilseeds through the centrally sponsored scheme of National Food Security Mission: Oilseeds (NFSM-Oilseeds) from 2018-19 onwards in all districts of India.
- Under this scheme, interventions such as production and distribution of certified seeds and seed mini-kits of latest high yielding varieties are being undertaken.
- Under the NFSM (Oilseeds), Government of India has set up 36 oilseeds seed hubs with an objective to increase the availability of high yielding quality seeds.





## WHAT IS THE PRESENT STATUS OF OIL PALM CULTIVATION?

India currently cultivates palm oil only in about 3.7 lakh hectares in 16 States and the production is just around 2.8 lakh tonnes in 2020-21. Andhra Pradesh is the leading producer.

## NATIONAL MISSION ON EDIBLE OILS – OIL PALM (NMEO-OP) IS INLINE WITH THE GOVERNMENT EFFORTS!

- National Mission on Edible Oils - Oil Palm (NMEO-OP) has been launched in 2021 to augment the availability of edible oil in the country by harnessing area expansion and through price incentives.
- For the first time, Government will give a price assurance to the oil palm farmers for the Fresh Fruit Bunches (FFBs). This will be known as the Viability Price (VP) which will protect the farmers from the fluctuations of the International Crude Palm Oil (CPO) prices.

***In 2021, the Government launched Rs. 11,040 Cr. National Mission on Edible Oil – Oil Palm (NMEO-OP).***



## OIL PALM CONSUMPTION INCREASED MANIFOLD!

- In the year 2000, Palm oil consumption in the country was 3 MT.
- It was about 11 MT in 2020-21.



## LARGEST EXPORTERS ARE INDONESIA AND MALAYSIA!

The largest exporters of Palm oil are Indonesia and Malaysia, where conditions like farm size, socio-economic aspects, the systems of agriculture and environmental conditions are completely different from India.





## WHY SO MUCH EMPHASIS ON OIL PALM?

- At present only about 3.70 lakh hectares is under oil palm cultivation.
- India has enormous potential for cultivation of oil palm and production of Crude Palm Oil (CPO).
- Oil palm produces 10 to 46 times more oil per hectare compared to other oilseed crops and has yield of around 4 tons oil per hectare.
- Given the fact that even today around 98 per cent of CPO is being imported, the NMEO-OP may be considered a major initiative of the Government.

- The scheme aims to cover an additional area of 6.5 lakh hectares for oil palm till 2025-26 and thereby reach the target of 10 lakh hectares ultimately.
- Also, the scheme targets the production of CPO to go up to 11.20 lakh tonnes by 2025-26 and up to 28 lakh tonnes by 2029-30.





## FIVE MAJOR CHALLENGES TO MAKE NMEO-OP A SUCCESS!

### 1 PLANTATION SIZE

- In Indonesia, plantations usually span over 4,000 - 5,000 hectares with a processing plant on the site.
- These are usually owned by the corporations and make up nearly 70% of the area under oil palm.

*With small land holdings, can India replicate similar model as the oil palm cultivation is highly capital intensive?*

### 2 WATER AVAILABILITY

- Oil palm is a water intensive crop. It is more suited for cultivation in the rain abundant regions.
- For example, in Andhra Pradesh, where the annual rainfall is between 800-1,000 millimeters, irrigation needs are met through groundwater.
- Promoting oil palm in a big way may lead to water scarcity and excessive withdrawal of groundwater!





## FIVE MAJOR CHALLENGES TO MAKE NMEO-OP A SUCCESS!

### 3 TO BE COMPENSATED FOR AT LEAST FIVE - SIX YEARS!

- Farmers need to be nudged and incentivized to cultivate oil palm.
- For oil palm, they should be compensated at least for five-six years for their land against the potential loss and should also be provided with a one-time irrigation subsidy.



### 4 CORPORATE INVESTMENT IS NEEDED IN A BIG WAY

- To realise the goals of NMEO-OP, we need to attract corporate bodies towards palm oil production and derive maximum benefit of 100% FDI.
- The States' wastelands, degraded lands, and other lands can be given on lease, rent or can be bought by private entrepreneurs, cooperative bodies or joint ventures can be formulated for oil palm plantation.



## FIVE MAJOR CHALLENGES TO MAKE NMEO-OP A SUCCESS!



***A combination of individual farming, contract farming and captive plantations can boost oil palm cultivation in the country!***

**5**

### WHY CAN'T WE DIVERT SOME OF THE LAND UNDER OILSEEDS CULTIVATION?

- At present, we produce around 37 MT of oil seeds from around 29 million hectares of land. Even if 10% of area of cultivation is diversified for oil palm cultivation (where water is in abundance), the oil produced can be increased eight times.
- This is because of the reason, palm cultivation has enormous potential as one hectare gives 4,000 kg of oil as against 500 kg of oil in the case of sunflower, coconut, and rice bran.



## NATIONAL MISSION ON EDIBLE OILS – OIL PALM (NMEO-OP)



### ENVIRONMENTALISTS EXPRESS SERIOUS CONCERNS!

- All of us very well know that there is widespread destruction of rainforests and native biodiversity due to oil palm plantations in South-East Asia.
- Environmentalists warned that the Union Government's move to promote oil palm cultivation in the North-Eastern States and in the Andaman & Nicobar Islands can be disastrous.





## 1 IT IS NOT AT THE COST OF EXISTING FORESTS!

- A study done by the ICAR recommended that 28 lakh hectares across the country can be brought under oil palm cultivation.
- Out of these 28 lakh hectares, only 9 lakh hectares are in the North-Eastern region.
- This 9 lakh hectares is not being given by cutting forests or other crops, this is the land available in North-Eastern part of the country for cultivation of oil palm.
- Besides the availability of land and the suitability of climate, in the context of environment also, it will help bring balance.

## 2 OIL PALM IS PART OF THE OVERALL STRATEGY TO ENHANCE PRODUCTION

- Research is also going on to increase the production/productivity of other oilseeds like mustard, groundnut, soybean and sunflower. There has been increase in growth in the production of these oilseeds. But the gap to be filled is quite huge as far as production vs demand is concerned.
- First of all, we should look at the crops, where productivity is more. The productivity of palm oil from one hectare is far greater than that of mustard.
- Though we are promoting the production of other oil seeds, the productivity rate of these oilseeds cannot be compared to that of palm oil.

**55% of India's edible oil imports makes up palm oil.**





## HOW THE GOVERNMENT JUSTIFIES NMEO-OP?

### 3 ANDAMAN & NICOBAR HAS SOME EXPERIENCE WITH PALM OIL

- The Andaman & Nicobar Islands have already had some experience with palm oil, including some abandoned plantations in Katchal Island in the Nicobar chain.
- 1,593 hectares area was planted more than 35 years ago in Little Andaman, and on the instructions of the Supreme Court, it was abandoned.
- As per the feasibility report by Indian Institute of Oil Palm Research (IIOPR), these plantations can be revived and supplemented by plantations in the grasslands, which make up more than 75% of the land area of Little Andaman, Katchal, Baratang, Kamorta and Teressa. Existing grass in Islands is not of any use, and is being burnt every year to avoid snake bites.



*Soil and climatic conditions were suitable for oil palm plantation with high rainfall, doing away with the need for irrigation. Moreover, multi-cropping during the first three years of the oil palm's life cycle would provide income before the plantation yields returns from the fourth to seventh years.*



## BUT, SERIOUS CONCERNS EXPRESSED BY ENVIRONMENTALISTS!

### 1

### NORTH-EAST REGION



- It is a water guzzling crop. Mono-culture crop with long gestation period is unsuitable for small farmers. As a matter of fact, any kind of mono-culture plantation is not desirable.
- The plantations would denude forest cover and destroy the habitat of endangered wildlife.
- Oil palm can be considered as an invasive species. It is not a natural forest product of North-Eastern India.
- It's impact on the biodiversity as well as on soil conditions has not been analysed.
- The community ownership of tribal lands has its own problems and may wreck havoc on the social fabric.



## BUT, SERIOUS CONCERNS EXPRESSED BY ENVIRONMENTALISTS!

### 2

### ANDAMAN & NICOBAR ISLANDS

- As per a letter written by Chief Conservator of Forests in 2019, much of the lands proposed for oil palm cultivation are either protected or reserve forests, and any land use change would require the approval of the Supreme Court.
- Supreme Court in 2002 directed that existing plantations, whether of oil palm, rubber or teak should be phased out. The land should be regenerated to its natural profile, without any further introduction of exotic species, the Supreme Court orders said.

***Exotic species, are those that occur in areas outside of their natural geographic range.***





# MIXED RESPONSE ACROSS PENINSULAR INDIA!

## ANDHRA PRADESH IS NOT HAPPY ...

- Andhra Pradesh currently grows more than 80% of India's oil palm.
- Farmers mostly dependent on borewell irrigation. As per agricultural scientists, oil palm requires 300 litres of water per tree per day and it makes water table to go down day-by-day.
- High pesticide use in areas where it is not a native crop, leads to consumer health concerns and impact on biodiversity.



## ... HOWEVER, KERALA IS UPBEAT!

- Several rubber farmers are interested in switching to oil palm, and they are excited by the growth prospects through the new mission.
- The State Government has identified potential sites for cultivation in Wayanad and Palakkad districts, apart from rejuvenation of existing gardens, supported by the new mission.







## WE HAVE TO LEARN LESSONS ALSO FROM SRI LANKA!

- Sri Lanka shares similar suitable climatic conditions.
- It has recently disavowed oil palm. In the month of May, 2021, it announced razing existing plantations and banned palm oil imports as the crop has replaced more environmentally friendly and employment generating plantation crops.
- Local streams got dried up and there were signs of becoming an invasive species threatening native plants and animals.

## FINAL WORD

- There is mixed response with regard to the oil palm mission.
- It is better, if the Government takes the scientific community into account, before operationalizing this mission!



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SINCERE THANKS  
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Learning Space

**For Suggestions:**

[suggestions@learningspace.in](mailto:suggestions@learningspace.in)

**To Contact us:**

[info@learningspace.in](mailto:info@learningspace.in)

**For Information:**

[info.learningspacedigital@gmail.com](mailto:info.learningspacedigital@gmail.com)

**Visit us at:**

[www.learningspacedigital.com](http://www.learningspacedigital.com)

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